

Acme Global Enterprise - Payroll Policy Guide (Sample)

Section 1: Pay Schedule, Overtime and Pay Corrections

1.1 Pay Schedule and Cutoffs

Employees are paid semi-monthly, on the 15th and on the last business day of the month.

- (a) The timesheet cutoff is 5:00 PM local time, three (3) business days before each pay date.
- (b) Changes received after the cutoff are paid in the next pay cycle unless section 1.4 applies.

1.2 Overtime

Non-exempt employees are paid 1.5 times their regular hourly rate for hours worked over forty (40) in a workweek.

- (a) State rules may require double time. For example, California requires double time after twelve (12) hours in a day.
- (b) Overtime must be on an approved timesheet before the cutoff to be paid in the current cycle.

1.3 Short or Missing Pay

If an employee is underpaid because of a payroll or timesheet error, payroll corrects it as follows:

- (a) Shortfalls of fifty dollars (\$50) or more are paid by off-cycle payment within one (1) business day after the error is confirmed.
- (b) Shortfalls under fifty dollars (\$50) are added to the next regular paycheck.
- (c) The payroll specialist must confirm the approved hours before an off-cycle payment is released.

1.4 Late Timesheets

A timesheet approved after the cutoff is normally paid in the next cycle.

- (a) If the manager certifies in writing that the hours were worked, the employee qualifies for an off-cycle payment.
- (b) Repeated late approvals by the same manager must be reported to Payroll Operations.

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Section 2: Leave Pay, Deductions and Tax Withholding

2.1 Pay During Approved Leave

During approved paid parental leave, pay continues at one hundred percent (100%) of base salary through the regular payroll.

- (a) Benefit deductions continue on a pre-tax basis during paid leave.
- (b) State paid family leave payments are coordinated by Payroll so that the employee never receives more than 100% of base pay.
- (c) The leave schedule must be recorded in the system of record before the first affected pay date.

2.2 Deduction Changes

Benefit deductions change when a benefits enrollment change is approved.

- (a) The new deduction starts on the first payroll after approval.
- (b) If coverage is retroactive, the missed premium is caught up over up to three (3) pay periods.
- (c) Payroll sends the employee a new pay statement preview after any deduction change.

2.3 Tax Withholding

A new Form W-4 received before the cutoff takes effect on the next payroll.

- (a) State withholding changes require a verified home address.
- (b) Payroll cannot give personal tax advice. Employees should talk to a tax professional.

2.4 Recording Adjustments in ADP

All off-cycle payments and pay adjustments must be recorded through the ADP Payroll integration so that taxes and the pay statement are calculated correctly.